

BARBEQUE-NATION OFFER AT A GLANCE	
Offer Type	Book Built
Platform	Main Frame
Fresh Issue	Rs 180 Cr
Offer for Sale	Rs 272.9 Cr
Face Value	Rs 5
Price Band	Rs 498 - 500
Mkt/Bid Lot	30 Nos.
Implied M-Cap	Rs 1,877 Cr
Implied Eq-Cap	Rs 18.77 Cr
Implied Free Float	62.21%
Lead Manager	IIFL Sec, Axis Cap, Ambit Cap, SBI Cap.
Registrar	Link Intime
Listing At	BSE, NSE

INDICATIVE ISSUE SCHEDULE	
Opening : 24-Mar-2021	Closing : 26-Mar-2021
Allotment : 01-Apr-2021	Refunding : 05-Apr-2021
Demat Credit : 06-Apr-2021	Trading : 07-Apr-2021

Lineage

The Dhananis of Vadodara (formerly Baroda) are not new to investors. They have had at least five listed companies in last thirty years. But, none of them has a credible record to speak about. Change is constant for Dhananis. In the nineties all the Dhanani brothers were based in Vadodara. Now, one is in Mumbai, another in Bengaluru and the deceased one's family is at Indore. Initially, the group was operating under the banner 'Liberty'. Later, they floated companies under the name 'Sayaji'. And, now, it is Barbeque.

Shifting registered offices is also common for the Dhananis. When Sayaji Hotels went public its registered office was in Vadodara. Sayaji hotel is still in Vadodara but, the company's registered office has been shifted to Chennai and administrative office to Indore. Barbeque was originally registered at Indore but subsequently shifted to Bengaluru.

Another peculiarity of the group is changing the companies' names. Monali Land and Housing Co became Sayaji Hotels before it went public. Growmore Fertilizers became Hindustan Rasayan and went public in 1995. The name was further changed to Liberty Phosphate and was finally sold to the Murugappa group. Barbeque-Nation was originally incorporated as Sanchi Hotels.

Coming to the quality of disclosures and credibility of the promoters, the 1992-IPO prospectus of Sayaji Hotels claimed that there was no listed company under the same management. Come 1995. Hindustan Rasayan prospectus revealed that Divya Chemicals, which raised Rs 9.25 cr through a rights issue in 1992, was a group company, as **R R Dhanani** was one of the promoters!

While Barbeque's offer document presents the financials of Sayaji Hotels, it does not reveal about the performance of the other public companies connected with the Dhananis. What happened to the once listed Divya Chemicals (co-promoted by Dhananis) and M P Agro Morarji (listed company taken over by Dhananis in 1991)? Hindustan Rasayan collected a premium of Rs 10 for a share in 1995 boasting that it was a 'profit making dividend paying company'. But, post-public issue, the price dropped to Re 1 in the face of dismal working performance.

Though Barbeque's RHP lists Welterman International as a group company, it does not reveal the performance of that company. Welterman, where Barbeque's MD Kayum Dhanani holds the single largest stake of more than 45%, was last traded at Rs 2.70 against its paid up value of Rs 10. Welterman has accumulated losses amounting to over Rs 17 cr against its capital of Rs 4.44 cr.

Coming to the prominent listed company of the group, Sayaji Hotels' consolidated loss has been mounting in last five fiscals. Notwithstanding the poor working performance, its share price has witnessed an upsurge since the filing of Barbeque's offer document as the company is claimed to be the main promoter of Barbeque. However, the fact is, the listed Sayaji Hotels does not hold any share in Barbeque. Its entire holding of 37.18% has been transferred to its wholly owned subsidiary, Sayaji Housekeeping, at just par value for reasons best known only to the Dhananis. One should not be surprised, if Sayaji Housekeeping is spun off sooner than later to unlock the value.

Sayaji Hotels Consolidated Financials (in Cr)						
Period Ended	Dec-20	Mar-20	Mar-19	Mar-18	Mar-17	Mar-16
Months	9	12	12	12	12	12
Revenue	43.35	240.06	244.41	215.82	179.31	180.53
Operating Profit	2.62	37.35	26.37	34.58	34.88	48.39
OPM%	6.0	15.6	10.8	16.0	19.5	26.8
Other Income	18.93	4.35	5.30	2.87	2.49	1.39
EBIDTA	21.55	41.70	31.67	37.45	37.37	49.78
EBIDTA %	34.6	17.1	12.7	17.1	20.6	27.4
Interest	21.39	29.74	18.75	16.28	18.3	15.04
Depreciation	22.38	34.20	24.40	23.75	25.29	29.67
Net Profit/-Loss	-15.28	-20.63	-13.62	-6.01	-4.24	5.87

When Sayaji Hotels went public in 1992, the promoters had proposed to hold 40%. Post-IPO, their holding dropped to 36.3%. Nevertheless, after the advent of Barbeque, the promoters have hiked their stake to 74.9%!

YEAR END	PROMO. STAKE%	CLOSING PRICE
Mar-20	74.9	209
Mar-19	74.9	256
Mar-18	74.9	303
Mar-17	74.9	185
Mar-16	74.9	122
Mar-15	57.2	128
Mar-14	46.2	128
Mar-13	36.3	124

Key Management

Welterman's largest shareholder and its former director Kayum Dhanani is the Managing Director of Barbeque-Nation Hospitality Ltd (BNHL). He has been a Director of BNHL since November 30, 2012. He holds a diploma in sole making from the Central Leather Research Institute, Chennai.

Raof Dhanani, who was the managing director of Hindustan Rasayan when it went public in 1995, is a Non-Executive Director of BNHL. He divested his fertilizers business in the year 2013 and joined the management of Sayaji Hotels and is currently acting as its managing director.

Stakeholders

Currently, of BNHL's capital of 16.97 cr, the promoters have a stake of 47.8% of which 37.2% is held by Sayaji Hotels' subsidiary. Post-IPO, the promoters would hold about 38% of which the Sayaji subsidiary will have around 31%. In the post-IPO capital of Rs 18.77 cr, while the average cost of the promoters' residual holding will be negative as compared to the IPO upper band of Rs 500, private equity investors Pace Private Ltd and Menu Private Ltd will hold 8.48% and 1.35% at a higher cost of Rs 620 and Rs 597 respectively.

Business Track

BNHL was originally incorporated as Sanchi Hotels in October 2006. The company owns and operates Barbeque Nation Restaurants, said to be one of India's leading casual dining restaurant chains. The company also owns and operates Toscano Restaurants and UBQ by Barbeque Nation Restaurant. The first Barbeque Nation Restaurant was launched in 2006 by Sayaji Hotels. BNHL launched its first Barbeque Nation Restaurant in 2008, and acquired five Barbeque Nation Restaurants owned by Sayaji Hotels in 2012.

The company has steadily grown from a single restaurant in 2008 to 147 restaurants across 77 cities in India and 6 restaurants in three other countries. BNHL also owns 61.35% of the equity share capital of Red Apple, which owns and operates nine restaurants under the brand name, "Toscano", a casual dining Italian restaurant chain and operates one restaurant each under the brand names "La Terrace" and "Collage" respectively.

The first Toscano Restaurant commenced operations in June 2008 and, as of December 31, 2020, the company operated eleven Italian Restaurants, nine of which are under the brand name "Toscano", in three cities in India. In November 2018, BNHL launched UBQ by Barbeque Nation Restaurant to provide *a la carte* Indian cuisine in the value segment. At present, UBQ by Barbeque Nation Restaurant predominantly caters to the delivery segment.

Financial Track

BNHL's top line has witnessed impressive growth in last three fiscals. From less than Rs 500 cr in FY2017, the company's revenue has vaulted to Rs 846 cr in FY2020. But, the company's bottom line has remained depressive. In the current fiscal, in view of COVID-19, it has posted a record loss of over Rs 100 cr for the 8 months period up to November 2020.

Barbeque-Nation Consolidated Financials (in Cr)						
Period Ended	Nov-20	Mar-20	Sep-19	Mar-19	Mar-18	Mar-17
Months	8	12	6	12	12	12
Revenue	201	846.97	422.89	739.02	586.34	496.53
Operating Profit	-20.95	180.60	87.58	118.41	126.31	114.89
OPM%	-10.4	21.3	20.7	16	21.5	23.1
Other Income	35.61	3.82	1.36	3.53	4.11	2.05
EBIDTA	14.66	184.42	88.94	121.93	130.42	116.93
EBIDTA %	6.2	21.7	21	16.4	22.1	23.5
Interest	59.14	75.59	33.38	56.40	53.57	43.82
Depreciation	82.02	133.96	53.62	89.54	70.27	62.74
Net Profit	-100.65	-32.93	-9.36	-38.39	-5.80	3.96
Accumulated Loss	192.09	171.51	60.47	46.47	4.39	0
Equity (Implied)	18.77	14.00	13.99	13.99	13.80	13.51
Reserves (Implied)	491.67	163.10	162.91	162.84	133.04	92.51

Valuation

BNHL is operating in an industry where, except Jubilant Foodworks, no one has a credible profitability to speak about. In such scenario, promoters' credibility counts a lot. Unfortunately, the track record of the listed companies of Barbeque's promoters fails to instill confidence.

How Barbeque-Nation Compares With Peer Group					
Financials					
(Amount in Cr)	Barbeque	Jubilant	Westlife	Burger	Speciality
Market Cap	1877	37998	7250	5246	212
Revenue	847	3927	1548	841	358
Other Income	4	70	13	6	10
EBIDTA	184	920	210	105	40
Interest	76	165	81	65	21
Net Profit	-33	279	-7	-77	-39
Equity Cap	18.77	131.97	31.16	381.66	46.96
Reserves	300	990	546	-67	116
Stock Features					
Current Price (Rs)	500	2879	465	137	45
Face Value (Rs)	5	10	2	10	10
Book Value	84.79	85.02	37.04	8.25	34.61
Promoter Stake %	37.79	41.94	59.08	52.88	51.2
Debt/Equity	0.65	0	0.32	0.63	0
Profitability					
OPM %	21.3	21.7	12.8	11.9	8.2
Net Margin %	-3.9	7.0	-0.5	-9.0	-10.6
Cash EPS	27.05	47.92	8.41	1.04	3.96
Earnings Per Share	-8.63	21.23	-0.47	-2.01	-8.28
Growth					
CAGR 3Yr Sales %	19.5	15.0	18.5	54.1	4.3
CAGR 3Yr EBIDTA %	16.4	55.7	46.5	609.3	127.4
Return					
RONW %	0	24.8	0	0	0
ROCE %	22.1	50.6	9.5	-2.3	-10.8
Discounting					
Price/Earnings	-	135.65	-	-	-
Price/Cash EPS	18.48	60.09	55.34	131.79	11.38
Price/EBIDTA	10.2	41.3	34.5	49.8	5.3
Distribution					
Dividend %	0	60	0	0	0
Yield %	0	0.2	0	0	0

Concern

- BNHL has been issued a notice by the National Anti-Profiteering Authority under the Central Goods and Services Tax Act, 2017. On November 30, 2020, NAA has examined the report and ruled that methodology adopted by DGAP while arriving at the demand is incorrect and directed to conduct further investigation. Accordingly, the demand of Rs 32.58 cr has been excluded from contingent liability. Any adverse decision in this matter may have a direct adverse impact on the business, operations, future prospects and financial position, and an indirect impact on the reputation, profitability and business of the company.
- Some of the promoters and directors operate or control entities engaged in a similar line of business, which may lead to competition with these entities and could potentially result in a loss of business opportunity for the public company.
- Promoter-Director, Raoof Dhanani is reportedly involved in a criminal proceeding initiated by Videocon Leasing and Industrial Finance Limited before the Additional Criminal Judicial Magistrate, Ghaziabad in relation to dishonestly inducing Videocon to, *inter alia*, part with Rs 16 cr for issuance of non-convertible, redeemable Debentures of Divya Chemicals Limited, which were not issued.
- Raoof Dhanani is also reportedly involved in an insolvency proceeding initiated by SICOM Ltd before the High Court of Bombay in relation to recovery of Rs 60 lakh.
- In respect of orders dated December 10, 2015 and May 17, 2016 and show cause notice dated May 17, 2017 issued by SEBI to Sayaji Hotels (SHL), it paid a penalty of Rs 12 lakh on November 9, 2017. Further, in respect of the show cause notice dated February 15, 2017 issued by SEBI, SHL paid another penalty of Rs 15 lakh on March 13, 2018.
- In respect of the show cause notice dated January 4, 2017 issued by SEBI to promoters and promoter group members of SHL, including, Kayum Dhanani and Suchitra Dhanani, a settlement amount of Rs 3.52 cr (including interest) has been paid on September 30, 2019.
- In respect of the show cause notice dated June 27, 2014 issued by SEBI to certain promoters and promoter group members of Liberty Phosphate Ltd, including Raoof Dhanani, they paid the settlement charges of Rs 2.21 cr.
- In respect of the show cause notice dated May 12, 2015 issued by SEBI to Raoof Dhanani, he paid the settlement charges of Rs 13.6 lakh.
- In respect of the show cause notice dated January 4, 2017 issued by SEBI to Raoof Dhanani, he paid the penalty of Rs 16 lakh.

- The Income Tax Department, Bengaluru conducted search operations at the residences of certain Directors, certain Promoters, and one KMP and at the Registered and Corporate Office of BNHL between January 10, 2018 and January 12, 2018. Subsequently, assessment proceedings were initiated against the company, pursuant to which assessment orders were passed by the Deputy Commissioner of Income Tax, Bengaluru on December 30, 2019 for each of the assessment years with tax demands aggregating to Rs 15 cr.
- The rating committee of ICRA in a letter dated August 31, 2020 revised the long-term ratings of BNHL to BBB+ from A-. The rating committee also revised the company's short-term ratings to A2 from A2+. According to ICRA, their outlook on the long-term rating continues to be 'negative.'

Syndicated by **India Aarthik Research**

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